

CSU 2017 MOCK EXAM OF ACCOUNTING AND FINANCE

1. The amount of raw materials purchased in a period may be different than the amount of materials used that period because:
 - A. The number of units sold may be different from the number of units produced
 - B. Finished goods inventory may fluctuate during the period
 - C. The raw material inventory may increase/decrease during the period
 - D. Companies often pay for material in the period after it is purchased
2. A business plans to make 15,000 coats per annum, each taking 1.5 direct labor hours. If the direct labour rate is Birr 8 per hour and a pay rise of 15% is awarded halfway through the year, what is the total annual direct labour budget?
 - A. Birr 120,000
 - B. Birr 193,500
 - C. Birr 180,000
 - D. Birr 207,000
3. In the Dividend Discount Model (DDM), the intrinsic value of a stock is calculated as:
 - A. The sum of all future dividends
 - B. The present value of future dividends
 - C. The total dividends paid to shareholders in one year
 - D. The average growth rate of dividends over time
4. According to the Dividend Irrelevance Theory, what is the effect of a company's dividend policy on its stock price?
 - A. It has no effect
 - B. A higher dividend increases the stock price
 - C. A lower dividend increases the stock price
 - D. It makes the stock price unpredictable
5. What is the main difference between the Gordon Growth Model and the Dividend Irrelevance Theory?
 - A. The Gordon Growth Model assumes dividends are irrelevant to stock valuation, while the Dividend Irrelevance Theory values dividends
 - B. The Gordon Growth Model incorporates a constant growth rate for dividends, while the Dividend Irrelevance Theory ignores dividends
 - C. The Gordon Growth Model is used for long-term growth, while the Dividend Irrelevance Theory is for short-term stock valuation
 - D. There is no difference; they both assume the same factors
6. Working capital is defined as:
 - A. Current liabilities - Current assets
 - B. Total assets - Current liabilities
 - C. Current assets - Current liabilities
 - D. Cash and cash equivalents - Current liabilities

7. Suppose the management of Angla Burger in the next year expects to sell 1,000 hamburgers. The hamburgers will sell Br. 300 each. The variable cost of selling the hamburger is Br. 140 each. This includes the cost of all ingredients. The company expects to incur rental costs of 120,000 Birr for the year. What is the contribution margin percentage?
- A. 53.33%
 - B. 46.67%
 - C. 68.18%
 - D. 31.81%
8. Suppose the management of Angla Burger in the next year expects to sell 100,000 hamburgers. The hamburgers will sell Br. 300 each. The variable cost of selling the hamburger is Br. 140 each. This includes the cost of all ingredients. The company expects to incur rental costs of 120,000 Birr for the year. The amount profit that the company will generate, if it sold 100,000 units.
- A. Birr 14,800,000
 - B. Birr 30,000,000
 - C. Birr 15,880,000
 - D. Birr 14,000
9. Suppose the management of Angla Burger in the next year expects to sell 100,000 hamburgers. The hamburgers will sell Br. 300 each. The variable cost of selling the hamburger is Br. 140 each. This includes the cost of all ingredients. The company expects to incur rental costs of 120,000 Birr for the year. Find the breakeven point in unit and Amount.
- A. 700 units and Birr 220,000
 - B. 800 units and Birr 300,000
 - C. 730 units and Birr 222,014
 - D. 750 units and Birr 225,014
10. At Break-even point:
- A. Contribution margin greater than Fixed cost
 - B. Contribution margin equal to fixed cost
 - C. Total revenue equal to total costs
 - D. All except A
11. Awash company has break sales of 30,000 units and earns after-tax income of Birr 70,000 at sales of 55,000 units. The company is subject to a 30% income tax rate. Based on the given information, which of the following is true?
- A. The fixed costs are Birr 120,000
 - B. The contribution margin at 60,000 units is Birr 420,000
 - C. Selling price per unit is Birr 4
 - D. Profit Before-taxes at sales of 100,000 units is Birr 300,000
12. Relevant costs are:

- A. All fixed and variable costs
 - B. All costs that would be incurred within the relevant range of production
 - C. Past costs that are expected to be different in the future
 - D. Anticipated future costs that will differ among various alternatives
13. A cost not relevant to deciding whether to purchase a new machine is:
- A. The cost of the new machine
 - B. Lower maintenance costs for the new machine
 - C. The cost of the old machine
 - D. Additional training required for operating the new machine
14. A cost incurred in the past that cannot be changed by any future action is:
- A. Sunk cost
 - B. Opportunity cost
 - C. Relevant cost
 - D. Avoidable cost
15. ABC Company is trying to decide if they should replace an old machine with a new machine. The following data was analyzed. The purchase of a new machine would have what effect on net income?

Cost savings per year on new machine	Birr 100,000
New Machine cost	Birr 150,000
Revenue from sales of old machine	Birr 10,000
Book value of old machine	Birr 25,000

- A. Net decrease of Birr 15,000
 - B. Net Increase of Birr 15,000
 - C. Net decrease of Birr 40,000
 - D. Net Increase of Birr 40,000
16. ABC company can make 1,000 units of equipment with the following costs:

Direct materials	Birr 70,000
Direct Labor	26,000
Variable overhead	15,000
Fixed overhead.....	15,000

The company can purchase the 1,000 units equipment externally for Birr 125,000. The avoidable fixed costs are Birr 5,000 if the units are purchased externally. What is the cost saving if the company makes the equipment?

- A. Birr 1,000
 - B. Birr 5,000
 - C. Birr 9,000
 - D. Birr 10,000
17. Which one of the following statements is false?
- A. Information is relevant if it is pertinent to a decision problem
 - B. Relevant information has a bearing on the future
 - C. Sunk costs are irrelevant to decision problems
 - D. Opportunity costs are irrelevant to decision problems
 - E. Relevant and accurate data are of value only if they are timely
18. Which one of the following can be described as data that are pertinent to a decision?
- A. Qualitative characteristics
 - B. Accurate information
 - C. Relevant information
 - D. Timely information
 - E. Sunk cost data
19. Unit Contribution margin is calculated as the difference between:
- A. Selling price and fixed cost per unit
 - B. Selling price and variable cost per unit
 - C. Selling price and product cost per unit
 - D. Fixed cost per unit and product cost per unit
20. Which of the following would produce the largest increase in contribution margin per unit?
- A. A 7% increase in selling price
 - B. A 15% decrease in selling price
 - C. A 14% increase in variable cost
 - D. A 17% decrease in fixed cost
21. At a volume of 15,000 units, ABC company reported sales revenue of Birr 600,000, variable cost of Birr 225,000, and fixed cost of Birr 120,000. The company contribution margin per unit is?
- A. Birr 17
 - B. Birr 25
 - C. Birr 47
 - D. Birr 55
22. Which of the following expressions can be used to calculate break-even point with the contribution-margin ratio (CMR)?
- A. $\text{CMR} / \text{Fixed cost}$
 - B. $\text{CMR} \times \text{Fixed Cost}$
 - C. $\text{Fixed cost} / \text{CMR}$
 - D. $\text{Fixed cost} + \text{CMR}$

23. Suppose the management of Angla Burger in the next year expects to sell 100,000 hamburgers. The hamburgers will sell Br. 300 each. The variable cost of selling the hamburger is Br. 140 each. This includes the cost of all ingredients. The company expects to incur rental costs of 120,000 Birr for the year. What is the contribution margin per unit?
- A. Birr 440
 - B. Birr 160
 - C. Birr 300
 - D. Birr 140
24. Which of the following is true about category B taxpayers?
- A. Includes those enterprises having annual income of more than Birr 500,000 and less than Birr 1,000,000
 - B. Are required to maintain all records and accounts
 - C. Are required to submit Balance Sheet and Profit and Loss statements
 - D. All of the above
 - E. None of the above
25. The following are deductible expenses for tax purposes except:
- A. Direct cost of producing the income
 - B. General and administrative expenses connected with the business activity
 - C. Premiums payable on insurance directly connected with the business activity
 - D. Donations and gifts given by the enterprise for charitable purposes
 - E. All of the above
26. Which of the following is/are true about depreciation expenses in Ethiopian tax law?
- A. The rate of depreciation for Building is 10% of the original cost
 - B. Intangible assets are depreciated at 15% of the original costs
 - C. Computers, information systems, software products, and data storage equipment are depreciated at 25% on a pooling system on the book value of the assets
 - D. Depreciation on fine art, jewelry, trading stock, etc., are allowed
 - E. All of the above
27. Canon of diversity involves:
- A. A tax should easily be understood by the taxpayer
 - B. There should be all types of taxes so that everyone may be called upon
 - C. Yields from taxes should be increased or decreased according to the need
 - D. All
28. Schedule "B" of income taxpayer is:
- A. Business income tax
 - B. Rental income tax
 - C. Employment income tax
 - D. None of the above
29. The amount of tax a given taxpayer is required to pay to the tax authorities is called:
- A. Taxable income

- B. Tax deduction
 - C. Tax liability
 - D. None of the above
30. Which one of the following is/are allowable deduction/s for rental income taxpayers who maintain books and records?
- A. Insurance premium paid on insurance of building
 - B. Repairs and maintenance expenses actually incurred
 - C. Depreciation on building as per income tax proclamation
 - D. The entire above
 - E. None of the above
31. The additional funds needed (AFN) formula is used to estimate:
- A. The external financing required to support growth
 - B. The amount of retained earnings in a company
 - C. The company's inventory turnover
 - D. The amount of taxes owed to the government
32. Which of the following best describes spontaneous financing?
- A. Financing that arises automatically from business operations, such as trade credit
 - B. A company's planned long-term investment strategy
 - C. A company's external equity financing
 - D. The use of short-term loans for expansion
33. If a firm needs external financing, which of the following is NOT a potential source?
- A. Bank loans
 - B. Retained earnings
 - C. Issuing corporate bonds
 - D. Selling additional shares of stock
34. Which financial statement is most useful for forecasting external financial needs?
- A. Pro forma balance sheet
 - B. Statement of retained earnings
 - C. Statement of cash flows
 - D. Notes to financial statements
35. Which of the following is a limitation of financial forecasting?
- A. It provides an exact prediction of future financial needs
 - B. It eliminates business risks completely
 - C. It depends on assumptions that may change over time
 - D. It only applies to nonprofit organizations
36. Dividend is paid when:
- A. When there is loss to company
 - B. It is paid out of profits
 - C. It eliminates business risks
 - D. It only applies to nonprofit completely organizations

37. Which of the following is an example of spontaneous financing?
- A. Issuing new equity shares
 - B. Trade credit from suppliers
 - C. Long-term loans
 - D. Retained earnings
38. What is the formula for Additional Funds Needed (AFN)?
- A. $AFN = \text{Total Assets} - \text{Total Liabilities}$
 - B. $AFN = (\text{Assets}/\text{Sales}) \times \text{Change in Sales} - (\text{Liabilities}/\text{Sales}) \times \text{Change in Sales} - \text{Net Profit Margin} \times \text{Retained Earnings Ratio} \times \text{Sales}$
 - C. $AFN = (\text{Equity}/\text{Sales}) \times \text{Net Income}$
 - D. $AFN = (\text{Revenue} - \text{Expenses}) \times \text{Interest Rate}$
39. To have a good tax system, “a tax should be levied after considering all favorable and unfavorable factors from different angles,” in which canon of tax is this statement stated?
- A. Canon of convenience
 - B. Canon of Expedition
 - C. Canon of Neutrality
 - D. Canon of Certainty
40. All are advantages of progressive tax system, except:
- A. This system secures equality in sacrifice by ensuring the principle of ability to pay
 - B. It serves as a powerful instrument for reducing the inequalities of income and wealth
 - C. This system shifts the total economic production of society to capital investments and toward saving
 - D. In this system, the cost of collection of tax does not increase with the increase in the rate of taxes
41. One is the objectives of a modern taxation system:
- A. Preventing harmful consumptions
 - B. Enhancing the standard of living
 - C. Raising revenue
 - D. All
42. Tax avoidance involves:
- A. Evading the payment of taxes by breaking the law
 - B. Illegal, fraud, criminal act of reducing tax burdens
 - C. Reducing the true tax liability, infringing in the process, both the spirit and intention of law
 - D. None
43. What are the limitations of direct tax?
- A. Inconvenience
 - B. Incentive to work and invest
 - C. Less expensive to collect
 - D. All of the foregoing

- E. None of the foregoing
44. Which of the following is not true regarding direct tax?
- A. Impact of tax falls on the person the tax is imposed
 - B. A tax burden be transferred from one person to another person
 - C. Incidence of tax falls on the person ultimately paying the tax liability
 - D. All of the above
 - E. None of the above
45. Mr. X earned Br. 3,000 and paid Br. 300 in income tax; and Mr. Y earned Br. 5,000 and paid Br. 500 in income tax. The tax rate structure they are subject to is:
- A. Progressive
 - B. Proportional
 - C. Digressive
 - D. Regressive
46. One of the following is true about the aim of excise tax?
- A. It is the tax which imposed on entire goods
 - B. It is the tax which imposed on luxury goods and basic of which their demand is inelastic
 - C. It is the tax which imposed on goods those are harmless to health
 - D. A and B
 - E. All
47. Which one of the following is correct about TOT according to Ethiopian tax law?
- A. Service rendered by Contractors is taxed at 10%
 - B. Combine harvesters are taxed at 10%
 - C. House rent is taxed at 2%
 - D. Services rendered by combine harvesters is taxed at 2%
 - E. All of the above
48. Abraham is engaged in mixed supplies business and is registered for VAT. During a month he collected Birr 23,000 VAT from the total sales of Birr 500,000 made and paid Birr 30,000 VAT for the total purchase of Birr 200,000. Based on the above information, which one of the following is true?
- A. The VAT payable is Birr 45,000
 - B. The tax credit is Birr 7,000
 - C. The input VAT is Birr 23,000
 - D. The VAT payable is Birr 7,000
 - E. None of the above
49. Which one of the following is true regarding category A taxpayers?
- A. Includes any company incorporated under the laws of Ethiopia or in a foreign country and other entities having annual turnover of Birr 1,000,000 and above
 - B. They have to maintain all records and accounts
 - C. They have to submit a balance sheet and profit and loss account

- D. Pay tax within 4 month period of time starting from end of their tax year
 - E. All of the above
 - F. None of the above
50. All except one are exempted in the case of employment income tax?
- A. Income from employment received by casual employees working not more than a month
 - B. All forms of retirement benefits do not exceed 15% of the monthly salary of the employee
 - C. Payment made for persons as compensation in relation to personal injuries
 - D. Allowance paid to members and secretaries of any business
51. The objective of taxation is:
- A. To increase the revenue of the government by increasing expenditure
 - B. To ensure economic stability by increasing inflation and decreasing deflation
 - C. To reduce regional imbalance by giving tax exemption to the backward areas
 - D. To create employment opportunity by imposing higher tax for those with many employees
 - E. None of the above
52. Assume that the monthly salary of Ato Amha is Birr 2,440. He is not entitled to have any other allowance, what is the monthly income tax of Ato Amha?
- A. 105
 - B. 600
 - C. 223.5
 - D. None of the above
53. Which statement is true regarding not-for-profit accounting?
- A. It follows a profit-driven reporting structure
 - B. It emphasizes accountability to donors and stakeholders
 - C. It excludes reporting of revenues
 - D. It does not require financial statements
54. What is the main financial reporting framework followed by the Federal Government of Ethiopia?
- A. IFRS
 - B. Tax-Based Accounting
 - C. GAAP
 - D. IPSAS
55. In the Ethiopian government, what is the role of the Treasury Single Account (TSA)?
- A. Maximizing tax revenue
 - B. Consolidating government cash resources
 - C. Managing foreign currency transactions
 - D. Tracking donor-funded projects
56. Why is IPSAS preferred over traditional cash-based accounting in the public sector?

- A. It allows immediate tax collection
 - B. It enhances financial transparency and accountability
 - C. It simplifies government accounting procedures
 - D. It eliminates the need for financial statements
57. How can the Ethiopian government improve financial transparency in public sector accounting?
- A. By adopting strict profit maximization strategies
 - B. By eliminating the audit process
 - C. By reducing the preparation of financial statements
 - D. By enforcing IPSAS standards and budgetary discipline
58. Which of the following budgeting approaches is most commonly used in government entities?
- A. Performance-based budgeting
 - B. Zero-based budgeting
 - C. Incremental budgeting
 - D. Capital budgeting
59. What is the main advantage of zero-based budgeting in public sector accounting?
- A. Encourages justification of all expenses
 - B. Eliminates the need for budget reviews
 - C. Ensures government surpluses
 - D. Focuses only on past expenditures
60. A government constructs a new highway. Under which fund should the financial transactions be recorded?
- A. General Fund
 - B. Capital Project Fund
 - C. Special Revenue Fund
61. A company with a negative working capital might face:
- A. Difficulty in paying short-term liabilities
 - B. High profitability
 - C. Excess liquidity
 - D. Strong financial position
62. The “cash conversion cycle” is a measure of:
- A. How quickly a company can convert its working capital into revenue
 - B. The time taken to convert current assets into cash
 - C. How efficiently a company uses its long-term assets
 - D. The time taken to pay off long-term debt
63. Which of the following is a potential disadvantage of having too much working capital?
- A. Increased profitability
 - B. Inefficient use of resources
 - C. Lower liquidity

- D. Higher long-term debt
64. Under the fair value method of accounting for marketable securities, which of the following is TRUE?
- A. Securities are reported at their amortized cost
 - B. Changes in fair value are recognized in other comprehensive income
 - C. Securities are not adjusted for market value fluctuations
 - D. Unrealized gains and losses are recognized in the income statement
65. Which of the following is an example of a marketable security?
- A. Real estate property
 - B. Treasury bills
 - C. Fixed assets
 - D. Business goodwill
66. A company's decision to classify marketable securities as "trading securities" rather than "available-for-sale" primarily reflects its intention to:
- A. Hold them until maturity
 - B. Sell them in the short term to take advantage of price fluctuations
 - C. Report them at cost rather than market value
 - D. Hold them for long-term investment with little risk of liquidation
67. The primary difference between the FIFO (First-In, First-Out) and LIFO (Last-In, First-Out) inventory methods is:
- A. FIFO assigns the most recent costs to the cost of goods sold, while LIFO assigns the earliest costs
 - B. FIFO assigns the oldest costs to the cost of goods sold, while LIFO assigns the most recent costs
 - C. LIFO uses market value, while FIFO uses historical costs
 - D. FIFO results in higher reported profits when prices are rising, while LIFO results in lower profits
68. In the context of inventory management, the term "stockout" refers to:
- A. An excess of inventory that cannot be sold
 - B. The cost of ordering and receiving inventory
 - C. A situation where there is no inventory available to meet demand
69. The primary disadvantage of the Economic Order Quantity (EOQ) model is:
- A. It does not account for inventory holding costs
 - B. It assumes constant demand and ordering costs
 - C. It is too complex for small businesses to implement
 - D. It requires continuous monitoring of inventory levels
70. Which of the following is TRUE about the cost of capital for long-term debt compared to equity?
- A. The cost of long-term debt is generally higher than the cost of equity due to higher risk

- B. The cost of long-term debt is lower than the cost of equity because interest is tax-deductible
 - C. The cost of equity is easier to calculate than the cost of debt
 - D. The cost of long-term debt is influenced by the equity market's risk premium
71. What is the primary function of inventory management in an organization?
- A. To track employee performance
 - B. To ensure the right quantity and quality of goods are available at the right time
 - C. To determine the pricing of products
 - D. To manage cash flow
72. Which financial ratio measures a company's degree of financial leverage?
- A. Current ratio
 - B. Debt-to-equity ratio
 - C. Return on assets (ROA)
 - D. Gross profit margin
73. Which type of leverage considers both operating and financial leverage together?
- A. Combined leverage
 - B. Operating leverage
 - C. Financial leverage
 - D. Degree of solvency
74. If a company has no debt, its financial leverage is:
- A. Zero
 - B. Positive
 - C. Negative
 - D. Infinite
75. If a company has no debt, its financial leverage is:
- A. Zero
 - B. Positive
 - C. Negative
 - D. Infinite
76. What is the first step in financial forecasting?
- A. Preparing financial statements
 - B. Estimating tax payments
 - C. Analyzing past financial data and trends
 - D. Determining dividend payout ratios
77. Which of the following factors affect external financial needs?
- A. Business growth rate and profitability
 - B. The company's office location
 - C. The number of employees in a company
 - D. The color of a company's logo

78. One of XY Company's products has a contribution margin of Birr 50,000 and fixed costs valuing Birr 60,000. If the product is dropped, Birr 40,000 of the fixed costs will continue unchanged. As a result of dropping the product, what will happen to the company's operating income?
- A. Decrease to Birr 50,000
 - B. Increase to Birr 30,000
 - C. Decrease to Birr 30,000
 - D. Increase to Birr 10,000
79. Which of the following is not a characteristic of relevant costing information? It is:
- A. Associated with the decision under consideration
 - B. Significant to the decision maker
 - C. Readily determined from financial records
 - D. Related to future endeavor
80. A fixed cost is relevant if it is:
- A. Uncontrollable
 - B. Sunk
 - C. A product cost
 - D. [Missing option, likely an OCR error]
81. If a cost is irrelevant to a decision, the cost could not be:
- A. A sunk cost
 - B. A future cost
 - C. A variable cost
 - D. An incremental cost
82. Which is the most likely purpose of budgeting?
- A. Planning and control of an organization's income and expenditure
 - B. Preparation of a five-year business plan
 - C. Company valuation
 - D. Assess the non-financial performance of an organization
83. A master budget usually includes:
- A. An operating budget
 - B. A capital budget
 - C. Pro-forma financial statements
 - D. All of the above
84. Budget is the most important budget and it forms the basis on which all the other budgets are built up (the first part of the master budget).
- A. Production budget
 - B. Sales budget
 - C. Cash budget
 - D. Material Budget
85. A master budget consists of:

- A. Individual budgets made for short-term goals
 - B. Emphasis is put on cash resources for capital planning
 - C. Interrelated budgets for an action plan for a specific time period
 - D. Focuses on review of progress towards long-term goals
86. M company produces hand balls. For March, budgeted sales are 12,000 units of balls, beginning finished goods inventory will be 1,200 units of balls, and ending finished goods inventory will be 1,400 units. March production will be?
- A. 10,900 units of balls
 - B. 11,800 units of balls
 - C. 12,200 units of balls
 - D. 14,600 units of balls
87. M company produces hand balls. Budgeted sales will be: March 12,000 units, April 14,000, May 16,000, and June 19,000. Ending finished goods inventory policy is 20% of the following month's sales. March 1 inventory is projected to be 1,500 units. Based on the given data, how many units will be produced in March?
- A. 11,900 units
 - B. 13,300 units
 - C. 13,000 units
 - D. 14,800 units
88. What is the main objective of IPSAS?
- A. Ensuring uniform tax rates
 - B. Promoting international financial comparability in public sector
 - C. Encouraging profit maximization in government entities
 - D. Replacing General Accepted Accounting Principles (GAAP)
89. Which IPSAS standard focuses on financial reporting under the accrual basis?
- A. IPSAS 1
 - B. IPSAS 12
 - C. IPSAS 24
 - D. IPSAS 33
90. In government budgeting, what does "appropriation" mean?
- A. The process of collecting revenues
 - B. Legal authorization to incur expenditures
 - C. The creation of financial statements
 - D. The allocation of profit
91. Which of the following is a key component of performance-based budgeting?
- A. Cash flow statement
 - B. Linking expenditures to results and outcomes
 - C. Random allocation fund

- D. Maximizing tax revenue collection
- 92. What differentiates general funds from special revenue funds?
 - A. General funds are used for day-to-day operations
 - B. Special revenue funds can be used for any purpose
 - C. General funds require specific donor restriction
 - D. Special revenue funds cannot be included in financial reports
- 93. What is the main purpose of a Capital Project Fund?
 - A. To finance government salaries
 - B. To account for financial resources used for major capital outlays
 - C. To track donor-restricted funds
 - D. To account for regular government expenditures
- 94. Which of the following best describes the role of a Debt Service Fund?
 - A. Managing payments for principal and interest on long-term obligations
 - B. Financing short-term government activities
 - C. Allocating funds for social services
 - D. Managing government grants
- 95. Internal Service Funds are typically used for:
 - A. Providing services to the public
 - B. Managing proprietary funds
 - C. Supporting government departments on a cost-reimbursement basis
 - D. Managing donations
- 96. Fiduciary funds are used to account for:
 - A. Proprietary Activities
 - B. Government's own resources
 - C. Resources held for external parties in a trust capacity
- 97. Which one of the following is not a characteristic of tax?
 - A. It is a Compulsory Contribution
 - B. Benefit is the Basic Condition
 - C. Personal Obligation
 - D. Common Interest
- 98. Which of the following is true of public finance?
 - A. It deals with the problems of adjustment of income and expenditure of the government
 - B. Concerned with raising of necessary funds for incurring government expenditure
 - C. It is an issue that deals with politics, economics, and social matters of a state
 - D. All
- 99. One is not the source of non-tax revenue:
 - A. The dividends & profits from public undertakings

- B. Revenue through confiscation of personal property
 - C. Grant & loan proceeds
 - D. Printing of currencies
100. Which is the main objective of a tax?
- A. Increase in consumption
 - B. Increase in production
 - C. Raising public revenue
 - D. Reduction in capital formation
101. Public finance has to do with all of the following activities of the government except:
- A. Stabilization activities
 - B. Allocation activities
 - C. Competition with private sector
 - D. Distribution activities
102. Which of the following is true of public finance?
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 - B. Concerned with raising of necessary funds for incurring government expenditure
 - C. It is an issue that deals with politics, economics, and social matters of a state
 - D. All
103. Which of the following state/s Adam Smith's canon of equality?
- A. A good tax system should be based on the ability to pay of the people
 - B. Every state must contribute toward the support of the Government in proportion to their abilities
 - C. A good tax should distribute the burden of supporting government more or less equally among all those who benefit from government
 - D. A & B
 - E. All of the above
104. All are non-allowable deductions for business income taxpayers, except:
- A. Penalty paid under violation of law
 - B. Losses that are not connected with the business activity
 - C. Losses which are not recoverable by insurance
 - D. All of the above
105. According to Ethiopian VAT proclamation, the exports of goods or services are considered as:
- A. VAT exempted
 - B. Taxed at standard rate of 15%
 - C. Zero rate, which is 0%
 - D. None of the above

106. What distinguishes government entities from for-profit entities?
- A. Profit Maximization
 - B. Revenue generation from voluntary transaction
 - C. Focus on equity ownership
 - D. Selling Goods and services for profit
107. Which of the following is not a characteristic of a non-for-profit entity?
- A. Absence of profit distribution
 - B. Public Accountability
 - C. Owners seeking financial gain
 - D. Reliance on donations and grants
108. How do government financial reports differ from a non-for-profit financial statements?
- A. They focus on shareholders' returns
 - B. They emphasize accountability rather than profitability
 - C. They do not include balance sheet
 - D. They recognize revenue only when cash is received
109. What is the primary purpose of fund accounting in the public sector?
- A. To maximize profits
 - B. To track different sources of revenues and expenditures separately
 - C. To reduce taxation
 - D. To eliminate the need of budgets
110. Which of the following is an example of a governmental proprietary fund?
- A. General Fund
 - B. Enterprise Fund
 - C. Capital Projects Fund
 - D. Debt Service Funds
111. How does the modified accrual basis of accounting differ from the full accrual basis?
- A. It records revenues only when cash is received
 - B. It records expenditures only when liabilities incurred
 - C. It recognizes revenue when measurable and available
 - D. It does not recognize revenue
112. Which financial statement is primarily used to report capital project fund activities?
- A. Statement of Revenue, Expenditures, and Changes in Fund Balance
 - B. Income statement
 - C. Statement of owner's equity
 - D. Profit and loss statement
113. If a government issues bonds to finance infrastructure development, how are the bond repayment transactions recorded?
- A. In the Capital Project Fund

- B. In the General Fund
 - C. In the Debt Services Fund
 - D. In the Special Revenue Fund
114. What distinguishes a Debt Service Fund from a Capital Project Fund?
- A. Debt Service Funds account for repayment of debt, while Capital Project Funds account for construction costs
 - B. Capital Projects Funds focus on operating costs, while Debt Service Funds handle capital expenditures
 - C. Debt Service Funds record ongoing operational costs, while Capital Project Funds handle new investments
 - D. Capital Projects Funds are used for debt repayment, while Debt Services Funds handle new investments
115. Internal Service Funds are primarily used to:
- A. Provide services to external stakeholders
 - B. Account for government departments' self-sustaining operation
 - C. Track non-governmental revenue sources
 - D. Manage financial assistance programs
116. Which of the following is NOT classified as a Fiduciary Fund?
- A. Pension Fund
 - B. Private Purpose Trust Fund
 - C. Debt Service Fund
 - D. Agency Fund
117. What measures can the Ethiopian government take to improve compliance with IPSAS?
- A. Introduce mandatory IPSAS training for government accountants
 - B. Reduce financial reporting requirements
 - C. Implement a cash-based accounting system
 - D. Eliminate performance audits
118. What is a key challenge in implementing IPSAS in Ethiopia?
- A. Lack of trained professionals
 - B. Excessive government surplus
 - C. High tax compliance rates
 - D. Decline in donor funding